Rainbow Children's Medicare Ltd - Concall Tracker

Is there a durable earning trigger, and has management been consistent?

Ticker: RAINBOW (NSE) / 543524 (BSE) | Quarter: Q1 2027 (Apr-Jun 2026) | Report date: 6 Nov 2026 | Source: Screener.in earnings-call transcripts

1. Snapshot

What the business does: Rainbow runs India's largest chain of children's hospitals (newborn and child intensive care, child specialties, transplants) alongside "BirthRight" maternity and fertility care. It uses a hub-and-spoke layout: a big flagship hospital in a city fed by smaller nearby units. Patients pay mostly in cash or through private insurance, and most doctors are full-time employees, which is unusual in India.

MARKET VALUE
₹12,652 cr
The market's price tag on the company. Down from about ₹14,700 cr at our last report.

Q1 FY27 REVENUE
₹470 cr
Apr-Jun 2026 sales, up 33% (about 24% without the two acquired hospitals). The fastest growth in years.

Q1 FY27 NET PROFIT
₹62.5 cr
Up 16%. Profit is lagging sales because new hospitals still run at a loss or break-even.

OPERATING MARGIN (EBITDA)
28.6%
About 29 paise of operating profit per ₹1 of sales. Still high for a hospital, but below the 31-33% it used to run at.

CASH
₹613 cr
Cash and investments, with no net debt. All expansion is paid from its own pocket.

PRICE TO EARNINGS
~50x
You pay about ₹50 per ₹1 of yearly profit (Screener basis). A premium growth price.

2. Concall coverage

Quarter	Call date	Transcript read?
Q4 FY22 → Q3 FY26 (17 calls)	May 2022 - Jan 2026	Carried forward from Q4-2026 report
Q4 FY26 (prior report's boundary)	25 May 2026	Carried forward from Q4-2026 report
Q1 FY27 (Apr-Jun 2026)	**31 Jul 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this quarter; the four-year backstory comes from the Q4-2026 report. Screener also lists a Nov 2026 (Q2 FY27) call, which is beyond this report's 30 Sep 2026 cut-off and is left for the next one.

Latest concall highlights - Q1 FY27 (31 Jul 2026)

- **Growth jumped.** Revenue ₹470 cr (+33%), EBITDA ₹134.6 cr (+30%, margin 28.6%), profit ₹62.5 cr (+16%). Inpatients +28%, outpatients +25%, deliveries +23%, revenue per occupied bed +6%. Plain read: the new beds are filling, though profit trails because young hospitals cost money first.
- **Bigger plan.** Add 2,500 beds over five years to reach about 5,000, for roughly ₹2,200 cr of capex, with 1,200 beds already in progress. Revenue to cross ₹2,000 cr in FY27 and double over the next four years, which works out to about 20% a year. Q2 growth guided above 20%.
- **Three new deals.** First step into Mumbai with a 100-bed hospital in Malad (opening Q1 FY28), the 70-bed Prime Children's Hospital in Nellore plus a 30-bed maternity block, and a 50-bed leased hospital in Guntur opening in a couple of months.
- **Margins:** management admits the two-year bed build-out squeezed margins and guides a return to 24-25% (pre-Ind AS, the older accounting basis) by year-end. Rajahmundry is at break-even; Bangalore Electronic City should break even in two to three months.
- **Tone:** confident and expansion-minded, more of a national story now. They're also open to government-scheme patients where beds sit empty.

Business mix & capacity (quick facts)

- **Domestic vs export:** almost all domestic. Overseas patients were only about 2-3% of revenue in FY26 (carried from the prior report; not updated on this call). Payer mix: cash ~48%, insurance ~42%.
- **Capacity utilisation:** occupancy just over 41% in Q1 FY27 on 1,862 operational beds (2,435 total beds). Plain read: well over half the beds are empty on an average day, so there's lots of room to grow from beds already built.
- **Pipeline:** Indore Q3 FY27; Coimbatore and Gurugram Sector 56 Q3 FY28; Gurugram Sector 44 hub Q1 FY29; Pune and Bangalore Seegehalli FY29.

Since our last report ★

Builds on the Q4-2026 report (boundary call 25 May 2026). Prior verdicts: **Durable trigger: YES** | **Management consistent: YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Filling the beds already built; Q4 +24% the first proof	Q1 revenue +33% (+24% like-for-like), volumes up a quarter	Confirmed
Consistency: YES	Same story for four years; FY26 a touch light	Story unchanged; new CEO's 20% growth aim beaten in Q1	Confirmed
Occupancy climb	~45% blended in Q4 FY26	Just over 41% in Q1 (a seasonally softer quarter, with more beds)	On-track, slow
Margins	31-33% band held	28.6% reported; pre-Ind AS target 24-25% only by year-end	Slipping
~900 beds under build	Over ~2.5 years	Dates given for each, out to FY29; three deals added	On-track

Verdict change this quarter: both unchanged. Growth beat the plan. The softer spot is profit: margins are below their old band and profit grew at half the pace of sales.

3. Earning trigger thesis

> **The headline:** Rainbow's driver is **filling the beds it has spent two years building**, then repeating the playbook in bigger, pricier cities. About 780 beds came in over two years. Occupancy is only around 41-45%, so volume can grow a lot without new spending, and higher-value care (transplants, cancer, intensive care) lifts revenue per bed. Q1 shows it working on revenue. Margin recovery is the part still to come.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Occupancy ramp	New hospitals break even in 12-18 months	Volumes +23-28%; Rajahmundry at break-even	Now to FY28	Strong	↑ growth speeding up
Bed expansion	~5,000 beds in five years; 1,200 visible	Total beds +26% to 2,435; Indore due Q3 FY27	FY27-31	Strong, self-funded	↑ bigger target
New premium markets	Mumbai, Gurugram priced higher	Malad deal signed; Gurugram hubs FY28-29	FY28+	Unproven	new
Case mix / ARPOB	~5-6% a year; mature units earn ~18% more per bed	ARPOB +6% overall	Ongoing	Moderate	unchanged
Margin recovery	Back to 24-25% pre-Ind AS by year-end	Margin down from 31-33% band; profit +16% vs sales +33%	FY27	Moderate	↓ squeeze admitted

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY22 (IPO)	1,000+ beds in five years; margins above 25% pre-Ind AS	~780 beds in two years plus two acquisitions	Delivered
FY24	Steady volume growth	Weak season; profit flat; openly explained	Partly
FY25	Bounce back; ~16% long-term growth	Revenue +17%, profit +12%	Delivered
FY26	New beds start contributing	Full year +12%, Q4 +24%	Delivered (slow start)
May 2026	~20% growth in FY27 under new CEO	Q1 +33% (+24% like-for-like)	Delivered so far
Earlier	Bangalore Electronic City break-even in ~15 months	Now "two to three months" away; Hennur still loss-making	Partly
Jul 2026	Margin back to 24-25% pre-Ind AS by FY27 end	Not yet testable	Too early

Narrative drift: Very little. It's the same children's and maternity hub-and-spoke story with full-time doctors, and it's now being scaled up. Two things are new. The ambition went national (Mumbai, north and central India, the Northeast), and they'd consider taking government-scheme patients in markets with spare beds. That's a sensible tweak, not a flip. What to watch is the margin: it slid as beds were added, and management's year-end recovery target is the next promise to check.

5. Bottom line - two verdicts

Durable earning trigger? → YES (vs last quarter: unchanged)

Q1 made the trigger stronger. Revenue grew a third and the existing hospitals alone grew about a quarter, so the beds built over two years are filling. A larger five-year bed plan adds more runway. The caveat is that profit is growing far slower than sales while new hospitals are young. The trigger holds only if margins climb back as promised.

Management consistent? → YES (vs last quarter: unchanged)

The new CEO's growth goal was beaten in his first full quarter, and project dates were laid out in detail. Management was also upfront that margins took a hit. The small misses are on timing: one Bangalore hospital is taking longer than its 15-month break-even guide. That's not enough to change a steady four-year record.

Concall-tracker report generated 6 Nov 2026 from Rainbow Children's Medicare's Q1 FY27 earnings-call transcript (31 Jul 2026), building on the Q4-2026 report. Figures are management's consolidated numbers as stated on the call; guidance items are targets, not results. This is not investment advice. Do your own due diligence.